AXIS ASSET MANAGEMENT

# UNION BUDGET 2026

## Budget balances fiscal discipline with growth

The Union Budget 2026 has adhered to fiscal discipline with the government anchoring its deficit reduction path on nominal GDP growth of ~10% and tax revenue growth of ~8%. These assumptions appear realistic, lending greater credibility to the fiscal consolidation roadmap, even as gross borrowing remains elevated. Importantly, the government has retained its commitment to public capex, with allocations rising by ~9%, reinforcing the medium-term growth and investment cycle.

In contrast to last year's budget and GST rationalisation in 2025, which were measures focused towards improving consumption, Budget 2026 signals a decisive shift towards long-term capacity creation and self-reliance. Policy emphasis is clearly placed on semiconductors, electronics manufacturing, biopharma, data centers and other sunrise sectors with strong structural growth potential. This reflects a broader objective of strengthening India's position in global supply chains, reducing import dependence and enhancing competitiveness in high-value segments.

However, market reaction has been muted, reflecting the lack of near-term growth catalysts. Equity markets traded lower, suggesting the budget was largely perceived as business as usual, with no major positive surprises to drive an immediate re-rating in equities. While fixed income markets are closed today, yields will likely trend higher on Monday given the increased gross borrowing numbers.

### Key market takeaways

- **No direct market relief:** Higher STT on futures and options, no changes to capital gains taxation.
- **Borrowing higher than expected:** Gross borrowing target of Rs17 trn for FY27 versus market expectations of Rs 16–16.5 trn.
- **Growth assumptions:** Nominal GDP growth pegged at ~10% for FY27 (vs ~8% currently), implying some pick-up in inflation.
- **Capex trajectory intact:** FY27 capex growth guided at ~9%, broadly in line with expectations, with defence, railways and roads seeing 8–10% capex growth after a muted FY26.
- **Defence spend:** Total outlay of ~Rs 642 bn (8.7% YoY), with defence capex up sharply (~17.6% YoY), underscoring indigenisation priorities.
- **Asset monetisation push:** Divestment target raised to ~Rs 800 bn in FY27 (vs Rs 330 bn in FY26), likely factoring in larger stake sales in PSBs and insurance.
- **Buyback taxation rationalised:** Buybacks now taxed akin to capital gains for minority shareholders.

## Backdrop and macro context

The Union Budget 2026–27 is presented against a supportive macro backdrop marked by moderating inflation, resilient domestic growth, and improving fiscal metrics. Building on the reform momentum of last year including income tax cuts, GST rationalisation and the rollout of labour codes, the Budget signals a clear transition from stimulus to execution, capacity building and consolidation.

With economic growth projected at around 7.4%, the government has focused on strengthening the foundations of long-term growth through higher public capital expenditure, targeted support for manufacturing and services, people-centric development and continued adherence to fiscal discipline. Overall, the approach reinforces macro-stability while prioritising infrastructure and productivity-enhancing investments.

Against this backdrop, expectations from the Budget were relatively muted. The emphasis was expected to be less on reform announcements and more on building capacity, improving implementation, and sustaining the gains from earlier policy actions - an expectation that the Budget broadly meets.

## Policy Direction

The Budget is anchored around three clear principles: people, execution rather than rhetoric and fiscal responsibility alongside growth. After several years of wide-ranging policy reforms, the government's focus has decisively shifted towards delivery, consolidation and outcomes. According to the government, over 350 reforms have already been implemented in recent years, and this Budget seeks to build on those gains by strengthening institutional capacity and improving on-ground execution.

The government's priorities remain centered on sustaining the momentum of structural reforms, building resilience to global volatility and enhancing productivity, competitiveness and employment. At the same time, there is a strong emphasis on deepening robustness in the financial sector and leveraging technology including AI to improve governance and public service delivery. Together, these priorities reflect a long-term approach to growth that balances efficiency, inclusion and stability.

## Fiscal consolidation and credibility

Fiscal discipline continues to remain a cornerstone of policy. The fiscal deficit is estimated at 4.4% of GDP in FY26 (RE) and is projected to decline to 4.3% in FY27 (BE). The government has reiterated its commitment to reducing the debt to GDP ratio to 50±1% by 2030. Importantly, these fiscal targets have been achieved alongside sustained investment in growth-enhancing sectors, reinforcing policy credibility and underscoring the government's commitment to medium-term fiscal consolidation without compromising on growth.

## Sustaining economic growth: manufacturing, MSMEs and services

A key pillar of the Budget is a renewed push towards strategic and frontier manufacturing, aimed at reducing import dependence and strengthening domestic value chains. Initiatives span a wide range of sectors, including the revival of 200 legacy industrial clusters, electronics component manufacturing, the India Semiconductor Mission (ISM 2.0), Biopharma SHAKTI, integrated textiles, chemical parks, container manufacturing, rare earth permanent magnets, hi-tech tool rooms, and affordable sports goods manufacturing.

This manufacturing push is supported by targeted tax and customs measures such as duty exemptions on capital goods, aircraft parts and defence MRO inputs, along with safe-harbour provisions, deferred duty payments, faster export clearances and continued SEZ support. Collectively, these measures are designed to improve competitiveness, deepen localisation and strengthen India's export ecosystem.

### Renewed focus on the services sector

Recognising the services sector as a core engine of growth and employment, the Budget introduces a range of initiatives across healthcare, education, tourism and the creative economy. These include the development of medical value tourism hubs in partnership with states, expansion of allied health institutions and caregiver training, and the establishment of an Education-to-Employment Standing Committee. Additional support has been extended to AYUSH, the care economy, AVGC content creation through labs in schools and colleges, as well as sports, design and the broader orange economy.

Tax reforms further strengthen the services ecosystem through higher safe-harbour thresholds for IT services, faster APA processes, and tax holidays for foreign cloud service providers operating India-based data centres—enhancing predictability and India's attractiveness as a global services hub.

## Sector wise impact

### Capital goods:

Capex allocation – up 11% yoy (on FY26RE numbers)

Government has continued to emphasize on capex-led-growth with a budgeted allocation of Rs 12.2 tn, a growth of 11% yoy (over FY26RE). This growth is led by defense sector allocation of Rs 2.19 tn, up 18% yoy, followed by railways sector allocation of Rs 2.8tn, up 10% yoy and roads sector allocation of Rs 2.9tn, up 8% yoy.

In the railways sector, government has increased the budget allocation by 10% yoy in FY27BE, after two years of flattish numbers.

On the roads sector, after a flattish year in FY26, government has allocated 8% higher amount in the FY27BE. The beneficiaries include road-focused EPC companies.

### Pharma:

- India's digital disease burden is observed to be shifting towards non-communicable diseases like diabetes, cancer and autoimmune disorders. Biologic medicines are key to longevity and quality of life at affordable costs. To enable this the government has announced plan to develop India as a global biopharma manufacturing hub, through Biopharma Shakti plan which will have an outlay of Rs10,000 cr over the next five years. Budget outlay in 2026-27 is Rs 500cr.

## Chemical and Fertilizers:

- To enhance domestic chemical production and reduction in import dependency, government announced plans to launch a scheme to support states in establishing three dedicated chemical parks on a cluster-based plug-and-play model. Budget outlay for chemical parks is Rs 600cr for 2026-2027. This is positive for import substitution plays in Chemicals
- Fertiliser subsidy is lower by 8.4% yoy from the revised budget allocation. The allocation towards urea is down 7.6% yoy to Rs116bn, while NBS is cut by 10% yoy to Rs54bn.

## Automobiles:

- **PLI for auto and auto component**: The allocation has increased by 3x for FY27 to 59.4 bn from 20 bn in FY26. Currently EV penetration in India stands at 5-6% in 2-W and 3-4% in Passenger Vehicles and believe this should positively help the EV penetration and localization of component manufacturing.
- **Rare-earth magnet** corridors being planned underlining the strategic focus on critical minerals and components. Centre will support Odisha, Kerala, Andhra Pradesh and Tamil Nadu under the rare-earth corridor initiative. Strategically, this support the initiative of reducing the import dependency on rare earth magnets and will helps build reliability of EV supply chain for critical resources
- **Battery Energy Storage systems:** Extension of the basic customs duty exemption given to capital goods used for manufacturing Lithium-Ion Cells for batteries, to those used for manufacturing Lithium-Ion Cells for battery energy storage systems too. We expect this to be directionally positive for development of lithium-ion battery manufacturers, as it will supports the scope beyond electric vehicles

## Information Technology:

**Shares buyback:**

•**Earlier:** The buyback price was considered equivalent to dividend - hence taxed at marginal tax rate (say 30%). The cost price of individual shareholder was allowed to be included as capital loss (long/short as the case maybe).

•**Now**: Buyback to be treated as capital gain - so to be taxed at 12.5%/20% depending on LT/ST for non-promoter. For promoters, it is 22%/30% for corporate/non-corporate shareholders.

This makes buyback more lucrative for both retail as well as promoter shareholders *(more for non-promoters than promoters)*

**Safe harbour**

• **Earlier:** Indian subsidiaries or companies, providing international IT services could avail safe harbour provisions (lower compliance requirements) if

- Margins > 18%
- Transaction size < 300cr

•**Now:** Companies can avail safe harbour if

- Margins > 15.5%
- Transaction size < 2000cr

This makes compliance easy for IT companies - but is more positive for GCCs - small positive for larger third-party IT services companies

**Defence:**

Defence sector has seen higher allocation

| | FY25 | FY26BE | FY26RE | FY27BE | FY26 (RE vs BE) | FY27BE vs FY26(RE) | FY27BE vs FY26BE |
|---|---|---|---|---|---|---|---|
| Defence capex | 1,59,768 | 1,80,000 | 1,86,454 | 2,19,306 | 4% | 18% | 22% |

**Utilities:**

**Power sector** capex sees 18% YoY growth to Rs 1 tn FY27 BE vs Rs 0.85 tn in FY26 RE.

| | FY25 | FY26BE | FY26RE | FY27BE | FY26 (RE vs BE) | FY27BE vs FY26 (RE) | FY27BE vs FY26BE |
|---|---|---|---|---|---|---|---|
| Overall Power sector capex | 76565 | 86138 | 85828 | 101762 | 0% | 19% | 18% |

**Infra capex:**

- Capex budget for FY27 at Rs12.2Trn, +9% YoY on Budget estimate and +11-12% on FY26 Revised Expenditure numbers.
- For PMAY Low Cost housing schemes, FY26 Revised Estimate is 48% lower versus the original FY26 Budget estimate on back of 41-67% lower in Rural/Urban numbers. For FY27, Budget Estimate is 90% higher vs FY26 Revised Estimate on 69-177% increase in Rural-Urban.
- FY27 Budget estimate for new MGNREGA scheme (i.e. Gramin) at Rs957bn + existent MGNREGA allocation at Rs300bn. Cumulative allocation of Rs1.26tn is higher 46% YoY. FY26 Revised estimate is largely in line with original FY26 Budget estimate for MGNREGA.
- Road Capital expenditure is higher 5% YoY. PM Rural road scheme allocation is higher 73% YoY on FY26RE.
- Railways Budget is higher 10% YoY. Metros Budget is higher 5% on FY26RE

### Electronic Manufacturing (EMS):

- The Electronics Components Manufacturing Scheme, launched in April 2025 with an outlay of ₹22,919 crore, the government has proposed to increase the outlay to ₹40,000 crore. This Outlay will help participate existing EMS/Consumer Durables and encourage new players to participate and take benefit of the opportunity driving their growth in a margin accretive way.
- To Launch ISM 2.0 to produce equipment and materials, design full-stack Indian IP, and fortify supply chains. Focus will also be on industry-led research and training centres to develop technology and skilled workforce. Positive for semiconductor and electronics ecosystem, support will be positive for the sector ensuring wider participation across semiconductor value chain and will benefit players in terms of enhancing growth with healthy margins.

### Logistics:

- Scheme for Container Manufacturing to create a globally competitive container manufacturing ecosystem, with a budgetary allocation of ₹10,000 crore over a 5 year period. This will be positive for Container Manufacturers as well as Logistics Companies and Importers/Exporters as they will not face container shortages and helps in enhancing containerized trade.

### Data Centre:

Tax holiday till 2047 to any foreign company that provides cloud services to customers globally by using data centre services from India. It will, however, need to provide services to Indian customers through an Indian reseller entity, safe harbour of 15 percent on cost in case the company providing data centre services from India is a related entity.

### BFSI:

| Segment | Announcements | Key Implications |
|---|---|---|
| **Banks** | High-level committee formed to define sector structure and efficiency | These will point to structural reforms, and we expect certain paper in due course which could talk about PSU banks consolidation etc. |
| | MSME support: Creating Champion MSME and supporting micro enterprises – equity support of Rs100bn through SME Growth Fund, Self Reliance India Fund top-up of Rs20bn; Liquidity support through TReDS, Credit Guarantee Support mechanism for invoicing through TReDS | Positive for MSME focused lenders |
| **NBFCs** | Vision for NBFCs would be outlined with clear target on disbursement and technology. Restructuring of major NBFCs; tech & credit targets. PFC and REC will be restructured | While need to look at the details, there is a clear understanding of the importance of NBFCs and scalability. The disbursements |

| | | |
|---|---|---|
| | | target would be interesting to look at.<br><br>Restructuring will entail bigger scale, stronger infrastructure credit role. |
| **Exchanges & Capital Markets** | STT hike on F&O - STT on future is raised to 0.05% (from 0.02% earlier). STT on options - both on the premium and on the exercise of options - is proposed to be raised to 0.015% from the current rates of 0.1% and 0.125% respectively. | Slight negative for equity exchanges as it will have short-term trading cost impact. |
| **Payments** | While UPI incentive for P2M payments is expected to be ~Rs 22bn versus budgeted expectation of Rs 4.27bn in FY26, FY27 allocation has bee re-aligned to Rs 20bn | The govt continues to recognize that running the UPI infrastructure entails recurring costs and has continued its contribution. |

## Hotels:

Pilot scheme for upskilling 10,000 guides in tourist destinations. Develop 15 archeological sites - this will improve the tourism and in turn benefit hotels.

**Source & Date:** Indiabudget.gov.in and Axis MF Research Date: 1st February 2026

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